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TENTATIVE RULING

August 27, 2026

25SMCV02103 (Chol v. Spacecraft, et. al.)

RELEVANT BACKGROUND

On April 21, 2025, plaintiff Erik Chol (Erik) filed his complaint against Kris Keith (Keith), Spacecraft Construction, LLC (Spacecraft), and Does 1-10.

On August 4, 2025, Spacecraft filed its cross-complaint against Erik and Does 1-20. On November 5, 2025, Spacecraft filed its first amended cross complaint (FACC) against Erik, Florence Chol, Chol Enterprises, Inc., and Celavi Entertainment, LLC (Cross-Defendants), alleging (1) breach of contract; (2) breach of contract; (3) quantum meruit; (4) claim and delivery; and (5) civil theft.

Erik is the owner of Azur Beverly Hills, a restaurant being developed and constructed at 453-459 N. Canon Drive, Beverly Hills, California (the Premises). Spacecraft is an interior design firm owned and operated by Keith that provides interior design services for restaurants, bars, and nightclubs.

The FACC alleges that Chol strung Spacecraft along through successive demands for renderings and construction labor, paid only a fraction of what he owed, terminated the relationship with amounts outstanding, and then transferred Spacecraft's proprietary drawings and designs to a third-party architect, Cross-Defendant Makim Architecture, Inc. (Makim), in direct violation of the express contractual prohibition on doing so. (FACC, e.g., ¶¶ 20–55.)

INSTANT MOTION

On December 8, 2025, Plaintiff and Cross-Defendant Erik Chol and Cross-Defendants Florence Chol (Florence), Chol Enterprises, Inc. (Enterprises), and Celavi Entertainment, LLC (Celavi) (collectively, Cross-Defendants) filed the instant demurrer to the FACC. Defendants and Cross-Complainants Keith and Spacecraft (collectively, Cross-Complainants) filed an opposition, and Cross-Defendants filed a reply.

DISCUSSION

I. DEMURRER TO FACC

A.
Florence, Celavi, and Enterprises

Alter Ego Liability

"In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone." (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538; see also First Western Bank & Trust Co. v. Bookasta (1968) 267 Cal. App. 2d 910, 914.) When these conditions are met, courts disregard the corporate structure and impute the actions of a corporation onto its owner or parent. (McLaughlin v. L. Bloom Sons Co. (1962) 206 Cal.App.2d 848, 851-852.)

In determining whether to apply the doctrine, California courts consider a number of factors which include but are not limited to (1) inadequate capitalization, (2) commingling of funds, records, and other assets, (3) disregard of corporate formalities (e.g., stock issuance, holding board meetings, keeping of minutes, election of officers and directors, segregation of corporate records), (4) the same equitable ownership in the two entities, (5) the same directors and officers, (6) confusion about corporate identity, (7) use of the same offices and employees, (8) use of subsidiary as a mere shell or conduit for the affairs of the parent, and (9) lack of segregation of corporate records. (Brooklyn Navy Yard Cogeneration Partners, L.P. v. Superior Court (Parsons Corp.) (1997) 60 Cal.App.4th 248, 258.)

A court will sustain a
demurrer to “alter ego' allegations if the facts alleged are insufficient to demonstrate “alter ego” liability.¿ (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 74 [sustaining demurrer to alter ego claims without leave to amend where complaint's allegations were “inconsistent with other allegations” and “fail to include facts showing a unity of interest and a resultant injustice, prerequisites to an alter ego theory”].) A plaintiff must allege specifically both of the elements of the alter ego liability, as well as facts supporting each.”¿ (Nielson v. Union Bank of California (C.D. Cal. 2003) 290 F.Supp.2d 1101, 1116 [applying California law].)¿

In Vasey v. California Dance
Co., the court held that the following was insufficient to allege alter ego liability:

Respondent's complaint
asserted a bare conclusory allegation that the individual and separate character of the corporation had ceased and that CDC was the alter ego of the individual defendants. Although by a default a defendant admits the allegations in the complaint, the defendant who fails to answer admits only facts which are well pleaded. [Citation.] “'The allegation that a corporation is the alter ego of the individual stockholders is insufficient to justify the court in disregarding the corporate entity in the absence of allegations of facts from which it appears that justice cannot otherwise be accomplished.”' [Citations.] In order to prevail in a cause of action against individual defendants based upon disregard of the corporate form, the plaintiff must plead and prove such a unity of interest and ownership that the separate personalities of the corporation and the individuals do not exist, and that an inequity will result if the corporate entity is treated as the sole actor. [Citations.]

Respondent's pleadings and the evidence he presented at the default hearing
fell far short of meeting these requirements.

(Vasey v.
California Dance Co.¿(1977) 70 Cal.App.3d 742, 749.)

In Rutherford Holdings, LLC
v. Plaza Del Rey, the court held the following was sufficient to allege
alter ego liability:

Rutherford alleged that
Caswell dominated and controlled PDR; that a unity of interest and ownership
existed between Caswell and PDR; that PDR was a mere shell and conduit for
Caswell's affairs; that PDR was inadequately capitalized; that PDR failed to abide
by the formalities of corporate existence; that Caswell used PDR assets as her
own; and that recognizing the separate existence of PDR would promote
injustice. These allegations mirror those held to pass muster in First
Western Bank & Trust Co. v. Bookasta (1968)
267 Cal.App.2d 910, 915–916, 73 Cal.Rptr. 657. As in First
Western, "[a]ssuming these facts can be proved, [Caswell] ... may be
held liable ... under the alter ego principle." (Id. at p. 916,
73 Cal.Rptr. 657.)

(Rutherford
Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221,
235-36.)

Reverse Veil Piercing

Unlike traditional
veil-piercing, where a legal entity's owner can be held responsible for the
entity's obligations when it serves as an alter ego for the owner, reverse veil-piercing
functions in the opposite direction: a legal entity can be held liable for the
obligations of its owner, typically to satisfy the owner's debts. (Curci
Investments, LLC v. Baldwin (2017) 14 Cal.App.5th 214, 221.) When the
request for piercing comes from a third party outside the targeted entity, this
is referred to as outside reverse veil-piercing. (Ibid.) California
courts do not allow outside reverse veil-piercing for corporations. (Postal
Instant Press, Inc. v. Kaswa Corp. (2008) 162 Cal.App.4th 1510, 1519.)

Here,
Cross-Defendants argue that no cause of action is adequately pleaded against Florence, Celavi, or Enterprises.

With respect to Florence, the FACC
alleges the following:

At all times relevant to this
Cross–Complaint, Chol and Florence Chol controlled, dominated, and operated Enterprises, Celavi, and Doe Cross–Defendants 5 through 10, inclusive (together with Chol, the “Chol Enterprise”); their monies were and are commingled and intermingled; there was and is a unity of ownership interest between them; the credit of one was and is used for the credit of the other; the obligations of the former are and were paid by the latter; the latter were organized and capitalized for a sum of money insufficient to meet their reasonable requirements; the latter are instrumentalities, conduits, adjuncts, and alter egos of the former, and vice versa; all of the same operate as a single enterprise; each has managed and controlled the other to avoid liability through deceit to defraud creditors; and, unless the fiction of the legal separateness of each is from each ignored, great injustice will result and fraud will be sanctioned, all to the irreparable damage and injury of Cross–Complainant.

(FACC ¶ 8.)

Florence Chol, Erik Chol’s
wife, was present at multiple meetings between the parties concerning the Azur project, including on–site meetings on January 2, 2025, January 17, 2025, and for subsequent project discussions. Florence Chol actively participated in discussions and decisions regarding the project scope, design decisions, timelines, and payment obligations.

(Id., ¶ 21.)

With
respect to Celavi and Enterprises, the FACC alleges that they are alter egos of Erik and Florence. (FACC ¶ 8-11, 21.)

Cross-Defendants argue
that the FACC does not name corporations and seek to hold individuals liable

for their actions. It instead alleges that two corporations and Erik’s wife, Florence, are Erik’s alter egos and seeks to hold them liable for Erik’s alleged actions. Cross-Defendants argue that this is unsupported in law. The Court agrees.

Cross-Defendants are
correct that alter-ego liability disregards a corporate entity and holds individuals liable for the obligations of the corporation. (First Western Bank, supra, 267 Cal.App.2d at p. 914.) The FACC seeks to do the opposite, as it alleges Florence and the corporate entities are the alter egos of Erik. (FACC ¶ 8-11, 21.) Cross-Complainant fails to cite any relevant authority in support of its contention that the allegations in the FACC are adequate with respect to Florence or the corporate entities. Cross-Complainants cite Mesler v. Bragg Management Co. (1985) 39 Cal.3d 290, but that case pertained to alter ego allegations regarding a parent corporation and a subsidiary corporation and does not assist Cross-Complainant. As Cross-Defendants point out in reply, the opposition cites no authority that an individual (Florence) can be the alter ego of another individual (Erik) or that a corporation can be the alter ego of an individual (Erik).

The Court is not
persuaded by Cross-Complaintants’ arguments concerning agency. Florence, Enterprises, and Celavi are not alleged to have performed any act or received any benefit on behalf of Erik. As Cross-Defendants point out in reply, the only actor identified in the FACC is Erik. The remaining allegations lump the Cross-Defendants together and do not allege any specific conduct by Florence, Enterprises, or Celavi. (See FAC generally.)

But the Court finds that
leave to amend is appropriate because it is not clear from the face of the FACC that it is not reasonably possible for Cross-Complainants to cure the defects through amendment.

Accordingly, Cross-Complainant’s
demurrer is SUSTAINED WITH LEAVE TO AMEND with respect to Florence, Celavi, and Enterprises.

B. Civil Theft

Penal Code section 496,

subdivisions (a) and (c) provide:

Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170. However, if the value of the property does not exceed nine hundred fifty dollars ($950), the offense shall be a misdemeanor, punishable only by imprisonment in a county jail not exceeding one year, if such person has no prior convictions for an offense specified in clause (iv) of subparagraph (C) of paragraph (2) of subdivision (e) of Section 667 or for an offense requiring registration pursuant to subdivision (c) of Section 290.

A principal in the actual theft of the property may be convicted pursuant to this section. However, no person may be convicted both pursuant to this section and of the theft of the same property.

…

Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees.

(Penal Code, § 496, subd. (a), (c).)

Here, the FACC alleges civil theft in violation of Penal Code § 496 for not paying for designs, plans, drawings, etc. as required by the Design contract, but keeping those items and refusing to return them to Cross-Complainant. (FACC ¶ 87-95.)

Cross-Defendants argue that Erik cannot, as a matter of law, be a defendant in the civil-theft claim because the alleged thief cannot be liable for receiving the items he allegedly stole under Penal Code § 496, citing People v. Tatum, (1962) 209 Cal. App. 2d 179, 183 ["[A] thief may not be convicted under section 496, subdivision 1 of the Penal Code of "buying" or ‘receiving’ the goods which he has previously stolen.”].)

In opposition, Cross-Complainant cites Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333 in support of the contention that Penal Code section 496(c) reaches the person who obtains property by theft—including theft by false pretenses—and that a principal in the actual theft may be liable under the statute. (Id. at pp. 350-351, 353, fn. 15, 361 [defines false pretense as “the consensual but fraudulent acquisition of property from its owner”].)

But, as Cross-Defendants correctly argue in reply, the civil-theft claim alleged in the FACC does not adequately allege false pretenses. The FACC uses the term “false pretenses” in Paragraph 92 but offers zero facts in support. (See FAC ¶ 92.)

Cross-Defendants also argue that the FACC admits that Chol has fully paid Cross-Complainant for all designs and plans he allegedly received through Phase 1, that Phase 2 never commenced, and that therefore a civil-theft claim cannot stand. (FACC ¶ 9, 39, 45.) In opposition, Cross-Complainant states that the FACC alleges that Erik never paid for the Construction Contract work and wrongfully transferred Spacecraft’s proprietary drawings to Makim (FACC ¶¶ 36, 48–52). The Court’s ruling does not rely on this argument by Cross-Defendants.

The Court finds that leave to amend is appropriate because it is not clear from the face of the FACC that it is not reasonably possible for Cross-Complainants to cure the defects through amendment.

Accordingly, the demurrer to the cause of action for civil theft is SUSTAINED WITH LEAVE TO AMEND.

B. Joint Demurrer

In

opposition, Cross-Complainant argues that, where a demurrer is made by more than one party jointly, it must be overruled as to all jointly demurring if the pleading is good as to any one of them, citing Greenwood v. Mooradian (1955) 137 Cal.App.2d 532, 546. But Greenwood does not assist Cross-Complainant. In Greenwood, the court held, in relevant part, that (1) when a complaint is sufficient as against a general demurrer, it is error to sustain the demurrer without leave to amend because of defects in the form of pleading; and (2) where the court sustained demurrers to the complaint upon general and special grounds and plaintiff refused to amend the complaint, even though the sustaining of the demurrer to the complaint on general grounds was erroneous, if any of the special grounds of demurrer were well-taken, the judgment of dismissal would have to be affirmed. (Id. at p. 544-545.)

Plaintiff may have thirty (30) days in which to file and serve an amended complaint.